GE Vernova (GEV) | Earnings Update

3Q26 results | 28 October 2026 | Post-call version | Energy / power segment | Josh

1 Executive snapshot

Consensus thesis	Investors own GE Vernova as the leading heavy-duty gas turbine supplier in a market mostly sold out through 2030, paying for pricing, services and a margin path to 20% by 2028, with credit not in debate.
Thesis status	**Strengthening**
Versus expectations	Quarter: beat. Revenue $12.6bn vs $12.0bn consensus (+5%); adjusted EBITDA $1.94bn vs about $1.7bn to $1.8bn; EPS $4.81 vs $4.17 (Yahoo); orders $29.3bn vs $22.2bn (+32%). One miss: 11 GW of gas signed vs BofA's 13 GW. Outlook: above. FY26 revenue, margin and FCF raised; FCF guide of $16bn to $17bn vs $12.07bn consensus.
Biggest changes	1. Pricing is showing up in margin faster than modeled: Power segment EBITDA margin 21.4% vs a 17% to 18% guide, and management says 2H26 is the right base for 2027. FY26 gas pricing per kW is about 50% above 2025. 2. Backlog quality improved while the headline GW pace slowed: 13 GW of SRAs converted to firm orders, so gas backlog (64 GW) now exceeds SRAs (58 GW); only 11 GW was newly signed. Year-end target raised to at least 130 GW, the bottom of the 130 to 140 GW the market wanted. 3. Cash is now customer-funded on a large scale: current contract liabilities $45.7bn (+$5.7bn QoQ) are 2.7x the $16.8bn cash balance, and about $5.3bn of 3Q FCF of $5.4bn came from working capital. FY26 FCF guide raised to $16bn to $17bn. 4. Capital deployment stepped up: $9.0bn Trench Group deal (13x 2028E EBITDA, about half debt, close late 2027) and the buyback doubled to $20bn ($10.1bn remaining). 5. Credit improved before the print: Fitch upgraded GEV to A- (stable) on 12 August, which the preview card missed; S&P is BBB, positive outlook.
Investor takeaway	**The consensus view holds and should move up: pricing is converting to margin a year ahead of the 2028 frame, but a growing share of the cash that funds buybacks and Trench is customer down payments, so the 2027 FCF bridge is now the main open question for equity and credit.**
Monitor next quarter	• 4Q gas GW signed (management: modestly above 3Q's 11 GW) and whether year-end GW under contract clears 130 GW. • January call: FY27 guide, especially FCF as down payments unwind, and the Capital Markets Day date with a 2030 frame. • 4Q price per kW (guided lower on fewer aeroderivatives) and Electrification data center orders after a softer 3Q (about $1.4bn vs about $2.7bn in 2Q).

2 Key changes this quarter

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 Gas slots sold out	Mostly sold out through 2030; 3Q GW signed about 13 GW (BofA); year-end target raised toward 130-140 GW	11 GW signed (8 SRA, 3 orders), 13 GW converted, 5 GW shipped; 122 GW under contract; target at least 130 GW; 2032 slots selling	Confirmed	Release; call
P2 Pricing power	2H26 orders at high end of +10-20 pts vs 4Q25	3Q orders priced more than 20% above 4Q25; FY26 price per kW about +50% vs 2025; 4Q price per kW lower on mix	Confirmed	Call
P3 Orders and backlog	Orders about $22.2bn; RPO toward about $200bn in 2027	Orders $29.3bn; RPO $196.7bn (+$20.4bn QoQ); above $200bn expected in 4Q26, a year early	Confirmed	Release; 10-Q
P4 Cash and capital return	FY26 FCF about $12bn funds buybacks; IG balance sheet	FY26 FCF guide $16-17bn; buyback to $20bn; Trench half debt; Fitch A-. FY27 FCF not addressed	Confirmed (FY27 unresolved)	Release; 10-Q

Pillar	Market assumed	Quarter showed	Verdict	Source
P5 Margin path to 2028	Adjusted EBITDA margin 12-14% in FY26 rising to 20% by 2028	3Q 15.4%; FY guide 13.5-14.5%; implied 4Q about $2.2-2.8bn; Wind positive at $72mn	Confirmed	Release

Emphasized more: Price realization and margin in backlog; backlog over SRAs; Electrification as a second engine (Trench, Prolec, data center orders); capital deployment (M&A plus $20bn buyback); a 2030 frame at a Capital Markets Day.

Emphasized less or dropped: The 'GW signed' headline (11 GW, down from 20 GW in 2Q); the 2027 $200bn backlog target (pulled into 4Q26); Wind losses (Vineyard Wind settled); tariffs (now under $100mn for 2026, from $100mn to $200mn).

KPIs: More important: backlog GW vs SRA GW, price per kW, contract liabilities vs cash, Power margin. Less: total GW signed per quarter, which now nets against 5 GW a quarter of shipments.

Risks: Up: cash quality (down payments), M&A execution and leverage (Trench). Down: Wind claims, tariffs. Unchanged: data center counterparty risk (management says no change in cash terms).

Analyst focus matrix (Trevor)

Topic	2Q26 (22 Jul)	3Q26 (28 Oct)	Trend
Orders, GW and SRA conversion	DeBlase, Arcaro, Dumoulin-Smith	Mitchell	Persistent
Pricing	-	DeBlase	New
Margins and 2027 base	-	Ritchie, Virgo, Mehrotra	Rising
Capacity and supply	DeBlase, Coe, Ritchie	-	Fading
Customer credit and financing	-	Arcaro	New
Data centers and electrification	Kaplowitz	Wertheimer	Persistent
M&A (Trench)	-	Coe	New
Services	-	Kaplowitz, Mehrotra	New
Aeroderivatives and new tech	Dendrinos, Thakkar, Ocalan	Thakkar	Persistent
Wind	-	Obin	New
Cash, down payments and FY27 FCF	-	-	Not asked

Trevor: analysts pressed on whether 2H26 Power margins are the 2027 base and on SRA conversion; only Arcaro touched customer financing, and nobody asked about the down-payment unwind or FY27 FCF. Answers were mostly direct; 2030 targets were deferred to a Capital Markets Day.

Trevor's watch-list

Analyst	Quarter	Question (trimmed)	Answer	Rating	Later evidence
David Arcaro, Morgan Stanley (chosen: presses on demand and financing)	2Q26	Is 2026 the peak year for gas turbine orders?	Did not call a peak; pointed to at least 125 GW by year-end and growth into 2027	Deflected	3Q signed 11 GW (vs 20 GW in 2Q) but year-end target raised to at least 130 GW
	3Q26	Any customer financing strain, SRA exits or slower conversion?	No; no change in cash terms required to secure equipment	Direct	SRAs fell 63 to 58 GW via 13 GW of conversions, not exits (release)

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Orders	$29.3bn	$24.2bn	$14.6bn	[↑] / [↑]	+21% / +96% organic
Revenue	$12,642mn	$11,104mn	$9,969mn	[↑] / [↑]	+14% / +27%
Adjusted EBITDA	$1,943mn	$1,250mn	$811mn	[↑] / [↑]	+55% / +140%
Adjusted EBITDA margin	15.4%	11.3%	8.1%	[↑] / [↑]	+410bp / +730bp
Diluted EPS (GAAP)	$4.81	$2.47	$1.64	[↑] / [↑]	+95% / +193%
Free cash flow	$5,409mn	$5,107mn	$732mn	[~] / [↑]	9M $15,307mn
RPO (backlog)	$196,721mn	$176,284mn	$135,269mn	[↑] / [↑]	+$20.4bn / +45%

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Equipment RPO	$104,054mn	$87,821mn	$54,092mn	[↑] / [↑]	+92% YoY
Services RPO	$92,667mn	$88,463mn	$81,177mn	[~] / [↑]	+14% YoY
Power revenue / margin	$6,067mn / 21.4%	$5,477mn / 18.8%	$4,863mn / 13.4%	[↑] / [↑]	+800bp YoY
Electrification revenue / margin	$3,862mn / 19.1%	$3,637mn / 18.4%	$2,565mn / 15.1%	[↑] / [↑]	Prolec in 2026
Wind segment EBITDA	$72mn	$(275)mn	$(61)mn	[↑] / [↑]	First positive since 1Q25
Gas GW under contract	122 GW	116 GW	n.a.	[~] / [?]	Backlog 64, SRA 58
Gas GW signed (SRA + orders)	11 GW	20 GW	n.a.	[↓] / [?]	13 GW converted
Gas turbine orders (units / GW)	112 / 16.6 GW	113 / 12.1 GW	29 / 7.4 GW	[↑] / [↑]	21 HA, 57 aero
Gas turbine shipments (units / GW)	32 / 5.3 GW	29 / 3.3 GW	20 / 4.0 GW	[↑] / [↑]	Run-rate 5 GW/qtr
Elec. data center orders	about $1.4bn	about $2.7bn	n.a.	[↓] / [?]	YTD >$6bn (call)
Contract liabilities (current)	$45,669mn	$39,944mn	n.a.	[↑] / [?]	+$19.9bn YTD
Cash incl. restricted	$16,764mn	$13,120mn	n.a.	[↑] / [?]	Net cash $13.9bn

Flags: [↑] better, [↓] worse, [~] within ±5% or normal range, [?] unavailable. For contract liabilities, higher is more customer cash but a future reversal. 2025 segment figures are as recast for the 2026 realignment (company slides). Data center orders from the call (single source).

4 Guidance analysis

Metric	Guidance (FY26)	vs prior	vs consensus	Mgmt explanation	Analyst read
Revenue	$46.5-47.5bn	Raised from $45.5-46.5bn	Above $46.22bn	Power volume and price	Implies 4Q $13.4-14.4bn vs $13.88bn
Adj. EBITDA margin	13.5-14.5%	Raised from 12-14%	Above	Price, volume, productivity	Implies 4Q EBITDA $2.2-2.8bn
Free cash flow	$16-17bn	Raised from $11.5-12.5bn	Well above $12.07bn	Down payments on orders and SRAs	Implies 4Q $0.7-1.7bn; FY27 open
Power	Organic growth 19-21%; margin 19-21%	Raised from 18-20% / 17-19%	n.a.	Better-priced shipments from 2H26	2H26 the 2027 base (Ritchie)
Electrification	$14.5-15.0bn; margin 18-20%, toward high end	Maintained; margin nudged up	n.a.	Volume, productivity	Pricing positive, slowing (DeBlase)
Wind	Revenue down MSD; EBITDA loss $400-500mn	Revenue better; loss wider than about $400mn	n.a.	Offshore costs, tariff recoveries	Implies 4Q +$85-185mn
Gas GW under contract	At least 130 GW at year-end	Raised from at least 125 GW	Bottom of 130-140 GW (BNP)	4Q signing modestly above 3Q	Needs 8 GW net in 4Q
Backlog	Above $200bn in 4Q26	Pulled forward from 2027	n.a.	Equipment growth at Power	-
Buyback	$20bn authorization	Doubled from $10bn	n.a.	Cash generation	Sized while Trench needs $4.5bn cash

Underlying economic performance: improving, and mostly structural. Power margin gains come from repriced backlog shipping, which persists; the Wind turn includes the Vineyard Wind settlement and tariff recoveries, which do not.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Manufacturing capacity	Strong	Improving	Shipments 5.3 GW in 3Q vs 3.3 GW in 2Q; 5 GW a quarter run-rate reached	Revenue converts on schedule; capacity, not demand, sets growth
Technology and installed base	Strong	Stable	21 HA units ordered in 3Q; services RPO $92.7bn, +14% YoY	Services annuity grows behind every unit shipped
Customer lock-in	Strong	Improving	Backlog GW now above SRA GW; cash down payments unchanged	More of the 122 GW is firm, less optional
Pricing power	Very strong	Plateauing at a high level	More than 20% above 4Q25 in both H1 and 3Q; 4Q price per kW lower on mix	Margin rises as vintages ship even if price stops rising
Grid integration (Electrification)	Building	Improving	Prolec closed; Trench adds bushings and instrument transformers at about 33-36% margin	Second engine; reduces supply bottlenecks in HV gear

5-10 year view: the gas franchise looks like a decade of services annuity built on an installed base being placed now at record prices. The risk is the cycle: once capacity (24 GW in 2028, 30 GW in 2030) meets demand, pricing normalizes, and the market will then pay for services and grid equipment rather than turbine scarcity.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Cash quality: down-payment reversal	Monitoring	Contract liabilities $45.7bn vs $16.8bn cash; WC was about 98% of 3Q FCF	Up	FY27 FCF could fall sharply as units ship; buyback and Trench draw on customer cash
Gas signing pace and cycle	Monitoring	11 GW signed vs 13 GW expected; SRAs 63 to 58 GW	Stable	Net GW now grows only by signings minus about 5 GW/qtr shipped
M&A and leverage	Not flagged	Trench $9.0bn, about $4.5bn new debt, close late 2027, termination fee if blocked	New	Still net cash and below 1x debt/EBITDA; integration on top of Prolec
Data center counterparty	Monitoring	20% of gas customers are data centers; 'no change in cash terms'	Stable	Refundability of SRA deposits still undisclosed
Wind and tariffs	Elevated	Vineyard Wind settled; tariffs under $100mn	Down	Fewer one-off drags; FY Wind loss still $400-500mn
Management transition	Monitoring	New CFO (Jan 2027) and new Wind leader	Stable	FY27 guide comes from an incoming CFO

Pricing is peaking. Concern → Response: Management says 3Q orders were priced more than 20% above 4Q25 and FY26 is about 50% per kW above 2025. Evidence: The 'more than 20%' figure is the same as in H1, so the step-up vs 4Q25 did not widen in 3Q; 4Q price per kW is guided lower on mix. Price is high and holding, not still accelerating.

FCF is customer money. Concern → Response: Parks attributed the $5.3bn working capital benefit to down payments on orders and SRAs. Evidence: Contract liabilities rose $19.9bn YTD; 9M FCF of $15.3bn would be negative without it. No FY27 FCF number was given and no analyst asked.

Data center demand is fragile. Concern → Response: Arcaro asked about financing strain; Strazik said no exits and no change in cash terms. Evidence: SRAs fell 5 GW but conversions (13 GW) explain it; Electrification data center orders fell to about $1.4bn from about $2.7bn in 2Q (single source).

7 Capital, funding and per-share impact

Item	3Q26	2Q26	Note
Operating cash flow	$6,057mn	n.a.	9M $16,737mn
Capex	$647mn	n.a.	9M $1,430mn; $6bn plan 2025-28
Free cash flow	$5,409mn	$5,107mn	FY26 guide $16-17bn
Contract liabilities (current)	$45,669mn	$39,944mn	Power $33,163mn
Cash incl. restricted	$16,764mn	$13,120mn	$0.4bn restricted
Borrowings	$2,826mn	$2,849mn	4.25% 2031, 4.875% 2036, 5.5% 2056 notes

Item	3Q26	2Q26	Note
Net cash	$13,938mn	about $10.3bn	Before Trench
Buybacks / dividend	$1,630mn / $0.50	$2,350mn / $0.50	Oct to 23rd: $1,316mn; $10.1bn left of $20bn
Shares outstanding	264.7mn	n.a.	Diluted weighted 268mn vs 275mn a year ago
Ratings	S&P BBB (pos.), Fitch A- (stable)	BBB / BBB+	Fitch upgrade 12 Aug 2026

Trench: $9.0bn (EUR 8.0bn at 1.12), 13x 2028E adjusted EBITDA of $0.7bn before $50-100mn of cost synergies by 2030, 18x 2026E. Funded about half cash and half debt (about $4.5bn new debt, about $0.2bn a year of interest); debt to EBITDA stays below 1x. Revenue $1.4bn (2026E) to $1.9bn (2028E).

Per share: at $874.36 (11:09 ET today, +2.3%) the market cap is about $231bn, 35.4x pre-results FY27 consensus EPS of $24.69. Diluted share count fell 2.5% YoY on buybacks.

→ *Credit stays strong (net cash, A-), but the cash funding capital return is mostly customer prepayments. The question for bondholders is what minimum cash GEV will hold once deposits unwind.*

8 Monitoring checklist

Five signals: 4Q GW signed vs 11 GW and year-end vs 130 GW; FY27 FCF guide and contract-liability trend; Price per kW in 4Q vs 3Q (mix-adjusted); Electrification data center orders vs about $1.4bn in 3Q; Trench regulatory path and any change to buyback pace.

Key risks building: Customer-funded cash being deployed into M&A and buybacks; GW-signed pace slowing as conversions take over; Electrification data center orders softer.

Confirmation signals: FY27 FCF guide above about $10bn with deposits still rising; 4Q GW at or above 12 GW; Power margin at or above 21% in 4Q.

Conviction tripwires: A quarter where contract liabilities fall while SRAs also fall; any SRA cancellation by a data center customer; price per kW down on like-for-like units; Power margin back below 19%.

Questions for owners (post-call; whether asked, and why it matters):

1. [Credit] Contract liabilities are $45.7bn against $16.8bn of cash and 3Q working capital was about $5.3bn of $5.4bn FCF. How much of the deposit balance reverses in 2027, what is the FY27 FCF floor, and what minimum cash will you hold after Trench and a $20bn buyback? *Not asked. Sets buyback capacity and the bondholder cushion.*
2. [Credit] What share of the 58 GW of SRAs sits with non-investment-grade data center sponsors, and how much of each reservation fee is non-refundable? *Partly asked (Arcaro); refundability not addressed. Decides whether SRAs are backlog or options.*
3. [Equity] 3Q pricing was 'more than 20%' above 4Q25, the same phrase as H1. What was the like-for-like heavy-duty price change from 2Q to 3Q, and how do 2029-2030 slots price vs 2027? *Partly answered (DeBlase): strong, no number. Tests whether pricing has plateaued.*
4. [Equity] With 5 GW a quarter shipping, net GW only grows if signings beat about 5 GW a quarter. What net GW growth do you expect in 2027? *Partly answered (Mitchell): 4Q modestly above 11 GW; 2027 to grow.*
5. [Credit] If Trench approvals slip past late 2027, does the buyback pace change, and is A- now the rating floor you manage to? *Partly answered: below 1x debt/EBITDA; no ratings target.*
6. [Equity] For an aeroderivative ordered today, what is the earliest delivery slot and its price per kW vs HA combined cycle? *Partly answered (Thakkar): demand strong, 4Q lighter; no lead time. Sets the bar for small BTM projects.*

Read-across for Kona: GE Vernova is pricing 2026 gas equipment about 50% per kW above 2025 and still takes cash down payments with 'no change in cash terms', so Kona should assume equipment deposits are equity-funded and prices keep rising until 2030 capacity arrives. Aeroderivatives are being absorbed fast (127 ordered in 9M26 vs 45 a year earlier), so Kona should lock engine or aero slots now with refundable deposits and delivery damages; its off-grid design also sidesteps the high-voltage grid gear shortage behind the Trench deal.